

Briefs Finance
Quarterly
Report

The Real Money Era

How We Invested in Q1 2026



BriefsFinance

Good morning, Pro Briefers!

For most of the back half of 2025, investors couldn't stop arguing about one thing: Had AI finally peaked?

Our analysts spent the quarter asking a different question.

If AI really was built on hype, what was actually moving markets?

That question pulled us in two directions, and those two directions became the foundation of how we approached Q1 2026.

We built our quarter around two big ideas:

1. **Japan's Golden Era** - A once-in-a-generation moment unfolding in a market most American investors had stopped watching.
2. **The Real Money Rotation** - Investment dollars getting stricter, demanding receipts instead of promises.

These aren't trades, and they aren't weekly Market Shifts. They're the lenses we used to filter every opportunity that came across our desk last quarter.

What follows is how we thought about Q1 - what we saw, why it mattered to us, and how it's shaping our outlook for the rest of 2026.

Japan's Golden Era

For the last 20 years, Japan's stock market lived in America's shadow.

When the U.S. went up, Japan's main stock index - the Nikkei 225 - usually went up too.

Just by less. The S&P 500 might gain 14% in a year while the Nikkei crawled in around 10%.

Wall Street even had a nickname for it: America's little brother.

Then 2025 broke the pattern.

The Nikkei climbed 26.2% on the year while the S&P 500 came in at just 16.4%. Almost a 10-point gap, in Japan's favor.

We had been watching this market for a while. But last quarter is when the picture finally clicked into place for us.

The Cultural Reset

For decades, Japan ran what's called a "Stakeholder First" economy. Company executives called the shots, and decisions usually favored insiders over outside investors.

The result? By the early 2020s, the average company on the Tokyo Stock Exchange (TSE) was worth less in the market than the assets it owned.

That mismatch hit roughly half the entire exchange.

A lot of Japanese firms were also hoarding huge piles of cash instead of giving it back to the people who owned the stock.

In 2023, Japanese officials decided enough was enough.

They started pushing the country toward a "Shareholder First" model. Companies now had to actually return value through buybacks, dividends, and stronger returns on equity.

To enforce it, they began publishing a public "name and shame" list of companies dragging their feet. Get on that list, and Japanese investors knew exactly who to avoid.

It wasn't long before Japanese companies started rolling out real plans to pay their owners back.

This is the part of our Japan thesis we believe will play out over years, not months.

The Rate Window

But two more forces stacked on top of the cultural reset, and they created something rare: A short window of outsized opportunity.

The first was the Bank of Japan (BoJ). It pushed Japan's main rate up to 0.75% last year - a level it hadn't touched since the fall of 1995.



That's a big deal for Japanese banks. Banks make money on the gap between what they pay savers and what they charge borrowers, so higher rates mean wider gaps and bigger profits.

The second was politics. Earlier this year, Sanae Takaichi won the race for Prime Minister of Japan in what most analysts thought would be a tight contest.

It wasn't even close - she and her allies won big.

Takaichi was a student of the late Prime Minister Shinzo Abe, and she's pushing her own version of his playbook.

Locals call it "Sanaenomics" - built around what she calls "three arrows":

- Easier money policy from the central bank.
- Aggressive government spending.
- Investment focused on managing crises.

Her win wasn't just a vote for Takaichi. It gave her a clear mandate to push these policies through, which lifted investor confidence across the board.

The catch? Takaichi has already signaled she wants rates back down. The day the BoJ delivers that cut, the bank margin window slams shut.

So Japanese banks are enjoying the kind of profits they last had in the mid-1990s.

That run could last anywhere from a single quarter to several. Meanwhile, every public company in Japan is being pushed harder than ever to send cash back to its owners.

Why This Matters

Most American investors are not paying attention to Japan, and that's part of why we are.

Foreign markets, with Japan at the top of the list, became one of the largest pieces of our Q1 thinking.

Not because we expect a trade to play out in 90 days, but because the underlying cultural reset is the kind of long, slow change we want to be early on.

The rate window is the bonus and the cultural reform is the thesis.

We do keep our eye on the obvious wrinkles.

Timing matters - get in too late and the rate gain may already be priced in.

Currency adds another layer too - the yen has been volatile, and even strong Japanese companies can lose value for U.S. investors if the yen weakens against the dollar.

But these are reasons to be careful, not reasons to ignore what's happening in Tokyo.



The Real Money Rotation

Our second main thesis that defined our Q1 thinking didn't come from a country.

It came from a moment.

Late last year, AI company Anthropic gave a talk about the next wave of AI.

The pitch hinted that Software-as-a-Service (SaaS) businesses - companies that sell software by online subscription - might not survive.

Software stocks tanked; Big tech names like Snowflake, CrowdStrike, and Palantir all posted double-digit drops.

Even chip companies that should have looked like winners in that story got dragged down with them.

Investors started calling it the "SaaSpocalypse."

Right behind it came another shock - U.S. military action against Iran rattled global markets and pulled almost everything lower at once.

The dust mostly settled - But something changed forever.

Investment Criteria Is Getting Stricter

For two years, growth was rewarded just for being growth. Companies could trade on potential alone, and a slick AI pitch deck was enough to keep money flowing in.

We never thought that was a good trade. The SaaSocalypse just made it obvious.

Why? The moment investors realize they've been paying for promises that won't get cashed in, the door shuts fast.

It was an emotional moment that brought down big tech SAAS companies - but it was buried as something very real.

Investors want real revenue, not promises.

The Restaurant Test

The way we explain this internally is simple.

Picture two restaurants on the same block.

One has packed tables every night, real receipts, and a line out the door. The other has a fancy sign and a press release about how big it could be one day.

Both might be great over the long run. But in a nervous market, smart money leans toward the one already serving customers.

That's the Real Money Rotation. A move from potential to performance.

We started seeing it inside AI - the most obvious place - but by the end of Q1, the same logic was clearly applying everywhere we looked.

Where We Saw It In AI

Take Micron Technology. Micron makes the memory chips AI models burn through every time they answer a question or generate an image. Demand keeps climbing.



But unlike a lot of "AI plays," Micron isn't asking investors to imagine its future.

Recent revenue jumped 196% versus the same period a year earlier - nearly three times the revenue, in a single year, for one of the core suppliers of the AI build-out.

Or take Nvidia. The stock is only up around 5% on the year, which is low for a company often pointed to as the heartbeat of the AI trade.

That's part of the story too.

Even with that flat run, Nvidia keeps doing something rare on Wall Street: It keeps clearing the very high bar set for it.

Each earnings report shows real shipped products and real signed contracts - not a slide deck full of long-term projections.

These two aren't the thesis. They're what the thesis looks like when it's working - companies and their stocks moving on results, not noise.

Beyond AI

By the end of the quarter, we were applying the same lens to other corners of the market.

Genomics is one of them. The science is exciting, but the businesses worth tracking are the ones already serving real customers like hospitals and drug developers, not the labs still trying to prove a concept.



Mining tech is another. As more industries depend on critical minerals like copper and rare earths, the firms already producing real cash flow could lead the way - while early-stage names with shaky balance sheets get left behind.

The pattern is the same everywhere. Investors are rewarding businesses already earning money, regardless of what label sits in front of the company name.

What Can Change

A stricter market doesn't move in a straight line.

If speculative names regain their lead for a stretch, real money plays might lag in the short run.

Profitable companies can also get overpriced - a business making real money at any price stops being a bargain.

But this isn't a short-term mood swing. It looks like a more lasting change in how investment dollars get assigned, and we're positioning around that.



Looking Forward

A few other updates from this quarter:

- **Iron and Lumber continues.** Our team is still using the framework we adopted last quarter to spot promising new investment trends.

We walked through the full process in our previous quarterly report, and it remains our preferred framework for finding opportunities that last for the long term.

- **We exited private credit.** Worries around Collateralized Loan Obligations (CLOs) - bundles of loans packaged together and sold to investors - have grown louder, with a real chance those concerns spread to the broader credit market.

We've also pulled every buy rating tied to private credit, including ones on companies we expect to ride out a tough cycle just fine.

- **A new risk scoring system.** Our analyst team rolled out a new internal scoring system for managing risk.

The full methodology stays in-house for now, but it's already shaping every report we publish.



The Takeaway

Here's what ties our two Q1 theses together:

Investment criteria got stricter, and we want to be on the right side of it.

In Japan, that strictness shows up in regulators forcing companies to actually return value to shareholders.

The reform is meant for Japanese investors first, but it spills outward - and the rate window adds a once-in-a-generation profit moment for the country's banks on top.

In the Real Money Rotation, that strictness shows up in investors no longer paying any price just because a company has "AI" in its pitch deck.

The same lens has started to apply across other fields too, from genomics to mining tech.



Two different surfaces. Same underlying idea: Discipline is back, and it's reshaping where investment dollars are willing to flow.

The investors who recognize that early are in a better spot than the ones still chasing the next flashy story.

That's what shaped our Q1 decisions, and it's what we'll keep building around for the rest of 2026.

Of course, no thesis is permanent. Either of these could deepen for a year, fade in a quarter, or shift in directions no one predicts.

Surprise tariffs, military events, or sudden policy changes can drag down strong companies right alongside weak ones.

But when the market gets nervous, real money tends to win. And right now, that's exactly where ours is heading.

